

M&A Concepts

Can you define M&A and explain the difference between a merger and an acquisition?

Mergers and acquisitions (M&A) is an umbrella term that refers to the combination of two businesses. To buyers, M&A serves as an alternative to organic growth, whereas for sellers, M&A provides an opportunity to cash out or share in the newly formed entity's risk/reward.

The two terms are often used interchangeably but have some minor differences:

- **Merger:** A merger suggests the combination of two similarly sized companies (i.e., "merger of equals"), where the form of consideration is at least partially with stock, so shareholders from both entities remain. In most cases, the two companies will operate under a combined name (e.g., ExxonMobil, Kraft Heinz, Citigroup), whereas sometimes the new combined entity will be renamed.
- **Acquisition:** An acquisition typically implies the target was of smaller-size than the purchaser. The target's name will usually slowly dissipate over time as the target becomes integrated with the acquirer. In other cases (e.g., Salesforce's acquisition of Slack, Google's acquisition of Fitbit), the target will operate as a subsidiary to take advantage of its established branding.

What are some potential reasons that a company might acquire another company?

- Value Creation from Revenue and Cost Synergies
- Ownership of Technology Assets (IP, Patents, Proprietary Technology)
- Talent Acquisitions (New Skilled Employees)
- Expansion in Geographic Reach or into New Product/Service Markets
- Diversification in Revenue Sources (Less Risk, Lower Cost of Capital)
- Reduce Time to Market with New Product Launches
- Increased Number of Channels to Sell Products/Services
- Market Leadership and Decreased Competition (if Horizontal Integration)
- Achieve Supply Chain Efficiencies (if Vertical Integration)
- Tax Benefits (if Target has NOLs)

What are the differences among vertical, horizontal, and conglomerate mergers?

- **Vertical Merger:** A vertical merger involves two or more companies that serve different value chain functions. From the increased control over the supply chain, the combined entity should theoretically eliminate inefficiencies.
- **Horizontal Merger:** A horizontal merger comprises a merger amongst companies directly competing in the same (or very similar) market. Thus, following a horizontal merger, competition in the market decreases (e.g., Sprint & T-Mobile merger). Notable benefits that stem from a horizontal merger are the increased geographical coverage to sell products/services and an increase in pricing power.
- **Conglomerate:** A conglomerate refers to the combination of multiple business entities operating in unrelated industries for diversification purposes – an example would be Berkshire Hathaway.

In terms of vertical integration, what is the difference between forward and backward integration?

- **Backward Integration:** When an acquirer moves upstream, it means they're purchasing suppliers or manufacturers of the product the company sells – this is known as backward integration.
- **Forward Integration:** When an acquirer moves downstream, it means they're purchasing a company that moves them closer to the end customer such as a distributor or technical support – this is known as forward integration.

Describe a recent M&A deal.

For M&A interviews, come prepared to discuss at least one recent transaction in-detail. To understand the rationale behind an M&A deal and the market's perception of the proposed (or closed) transaction, review press releases and articles with commentary on the deal from reliable sources. Also, look at the current competitive dynamics within the industries relevant to the deal and the ongoing trends that could further explain why the transaction was completed.

The specific details regarding the deal which should be included in your response include:

- Name of Acquirer and Target Company (along with a business profiles of each)
- Merger or Acquisition Strategic Rationale (can be found in the Form S-4 or publicly announced)
- Approximate Transaction Size, Premium Offered, and Form of Consideration (if publicly disclosed)
- Acquirer and Target's Share Price Movement Post-Announcement
- Personal Perspective on the Transaction – "In your opinion, was this a good deal?"

For an example of how to review an M&A transaction, see our analysis on the acquisition of LinkedIn.

Read More → [Ultimate Guide to M&A + Breakdown of Microsoft's Acquisition of LinkedIn](#)

What are synergies and why are they important in a deal?

Synergies are the expected cost savings or incremental revenues arising from an acquisition. They're important because if an acquirer believes synergies can be realized, a higher premium would be paid.

1. **Revenue Synergies:** Cross-selling, upselling, product bundling, new distribution channels, geographic expansion, access to new end markets, reduced competition leads to more pricing power
2. **Cost Synergies:** Eliminate overlapping workforces (reduce headcount), closure or consolidation of redundant facilities, streamlined processes, purchasing power over suppliers, tax savings (NOLs)

Why should companies acquired by strategic acquirers expect to fetch higher premiums than those selling to private equity buyers?

Strategic buyers can often benefit from synergies, which enables them to offer a higher price. However, the recent trend of financial buyers making add-on acquisitions has enabled them to fare better in auctions and place higher bids since the platform company can benefit from synergies similar to a strategic buyer.

How do you perform premiums paid analysis in M&A?

Premiums paid analysis is a type of analysis prepared by investment bankers when advising a public target, in which the average premium paid in comparable transactions serves as a reference point for an active deal. The presumption being the average of the historical premiums paid in those comparables deals should be a proxy (or sanity check) for the premium to be received in the current deal.

Read More → [Premiums Paid Analysis in M&A](#)

Tell me about the two main types of auction structures in M&A.

1. **Broad Auction:** In a broad auction, the sell-side bank will reach out to as many prospective buyers as possible to maximize the number of interested buyers. Since competition directly correlates with the valuation, the goal is to cast a wide net to intensify an auction's competitiveness and increase the likelihood of finding the highest possible offer (i.e., removing the risk of "leaving money on the table")
2. **Targeted Auction:** In a targeted auction, the sell-side bank (usually under the client's direction) will have a shortlist of buyers contacted. These contacted buyers may already have a strong strategic fit with the client or a pre-existing relationship with the seller.

Read More → [Sell-Side Process](#)

What is a negotiated sale?

A negotiated sale involves only a handful of potential buyers and is most appropriate when there's a specific buyer the seller has in mind. A potential reason for this type of sale approach could be the seller intends to stay on and strongly values the partnership and growth opportunities.

Under this approach, the speed of close and confidentiality are two distinct benefits. These deals are negotiated "behind-closed-doors" and generally on friendlier terms based on the best interests of the client.

What are some of the most common reasons that M&A deals fail to create value?

- **Overpaying/Overestimating Synergies:** Nearly all M&A deals involve a premium in the purchase price. Even if the deal results in positive results, it might not be enough to justify the premium. Overpaying for an asset goes hand-in-hand with overestimating synergies. Synergies are challenging to achieve in practice and should be estimated conservatively, but doing so would result in missing out on acquisition opportunities and being out-bid. An acquirer often has to accept that the expected synergies used to justify the premium paid may not be met for the sake of completing the deal.
- **Inadequate Due Diligence:** An acquirer will often fail to perform sufficient diligence before acquiring a company. The decision may have been made while overly-focused on the target's positives and the potential post-integration benefits while neglecting the risks. A competitive auction with a short timeline can lead to this type of poor judgment, in which the other buyers become a distraction.
- **Lack of Strategic Plan:** For an M&A deal, when an acquirer becomes fixated on pursuing more resources and achieving greater scale without an actual strategy, this can lead to synergies not being realized despite an abundance of resources on-hand and potential growth opportunities.
- **Poor Execution/Integration:** Post-closing, the acquirer's management team may exhibit poor leadership and an inability to integrate the new acquisition. This poor integration can lead to diminished employee morale, cultural mismatches, and a noticeable drop in product/service quality. Of all the reasons M&A deals can fail, cultural compatibility can be the trickiest risk to assess.

Studies have repeatedly shown a high percentage of deals destroy shareholder value. If that's the case, why do companies still engage in M&A?

Many studies have concluded that most M&A deals destroy shareholder value. Yet, many companies continue to pursue growth through M&A.

One reason companies choose to engage in M&A is that many deals are done out of necessity, meaning they were defensive measures taken to protect their market share or to maintain competitive parity. Once a company owns a sizeable percentage of a market, its focus shifts towards protecting its existing market share as opposed to growth and stealing more market share (i.e., the company is now the target incumbent to steal market share from).

Therefore, the company must always be on the look-out for developing trends or companies that could someday become a threat, which is closely related to technological adaptation and staying innovative as industries continuously develop. M&A is a method for companies to fend off outside threats and gain new technological capabilities.

M&A is often a defensive response to structural sector disruption that presents a threat to an existing business model.

What is the purpose of a teaser?

A teaser is a one to two-page marketing document that's usually put together by a sell-side banker on behalf of their client. The teaser is the first marketing document presented to potential buyers and is used to gauge their initial interest in formally taking part in the sale process. The intent is to generate enough interest for a buyer to sign an NDA to receive the confidential information memorandum ("CIM").

The content found in a teaser will be limited, and the name of the company is never revealed in the document (instead “Project [Placeholder Name]”), and the teaser only provides the basic background/financial information of the company to hide the identity of the client and protect confidentiality. The information provided is a brief description of the business operations, investment highlights, and summary financials (e.g., revenue, operating income, EBITDA over the past two or three years) – just enough details for the buyer to understand what the business does, assess recent performance and determine whether to proceed or pass.

What does a confidential information memorandum (CIM) consist of?

A confidential information memorandum (“CIM”) provides potential buyers with an in-depth overview of the business being offered for sale. Once a buyer has executed an NDA, the sell-side investment bank will distribute the CIM to the private equity firm or strategic buyer for review.

The format of the CIM can range from being a 20 to 50-page document with the specific contents being a detailed company profile, market overview, industry trends, investment highlights, business segments, product or service offerings, past summary financials, performance projections (called the “Management Case”), management biographies, and the transaction details/timing.

Read More → [Confidential Information Memorandum \(CIM\)](#)

What are the typical components found in a letter of intent (LOI)?

Once a buyer has proceeded with the next steps in making a potential acquisition, the next step is to provide the seller with a formal letter of intent (“LOI”). An LOI is a letter stating the proposed initial terms, including the purchase price, the form of consideration, and planned financing sources. Usually non-binding, an LOI represents what a definitive agreement could look like, but there's still room for negotiation and revisions to be made in submitted LOIs (i.e., this is not a final document).

Read More → [Letter of Intent \(LOI\)](#)

What are “no-shop” provisions in M&A deals?

In most M&A deal agreements, there'll be a dedicated section called the “no solicitation” provision, or more commonly known as the “no-shop” provision. No-shop provisions protect the buyer and give exclusivity during negotiations. The sell-side representative is prevented from looking for higher bids and leveraging the buyer's current bid with other buyers. Violating the no-shop would trigger a significant breakup fee by the seller, and an investigation would be made into the sell-side bank to see if they were contacting potential buyers when legally restricted from doing so. On the other side, a seller can protect themselves using reverse termination fees (“RTFs”), which allow the seller to collect a fee if the buyer were to walk away from the deal.

Read More → [Breakup Fees and Reverse Termination Fees in M&A](#)

What is a material adverse change (MAC), and could you provide some examples?

In an M&A transaction, a material adverse change (“MAC”) is a highly negotiated, legal mechanism intended to reduce the risk of buying and selling parties from the merger agreement date to the deal closure date. MACs are legal clauses included in virtually all merger agreements that list out the conditions that allow the buyer the right to walk away from a deal without facing legal repercussions or significant fines.

Common Examples of MACs

- Significant Changes in Economic Conditions, Financial Markets, Credit Markets, or Capital Markets
- Relevant Changes such as New Regulations, GAAP Standards, Transaction Litigation (e.g., Anti-Trust)
- Natural Disasters or Geopolitical Changes (e.g., Outbreak of Hostilities, Risk of War, Acts of Terrorism)
- Failure to Meet an Agreed-Upon Revenue, Earnings, or Other Financial Performance Target

Read More → [Material Adverse Change: The ABCs of MACs](#)

Contrast asset sales vs. 338(h)(10) election vs. stock sales.

Sale Type	Description	Tax Implications
Asset Sales	- In an asset sale, the seller will sell the assets to the buyer with each asset contractually sold. - Once the buyer holds all the assets, it controls the business by having everything that made the seller's equity worth something.	- In the asset sale, the buyer gets the incremental D&A tax benefits – meaning, the tax basis of assets is stepped up, which creates tax-deductible D&A and future cash tax savings. - But the seller potentially faces double taxation – first on the corporate level and then on the shareholder level.
Stock Sales	- In a stock sale, the seller gives the buyer shares. - Once the buyer holds all the target shares, it controls the business from being its new owner.	- In a stock sale, the buyer doesn't get a stepped-up basis in the seller's assets, which means the buyer cannot benefit from lower future taxes due to incremental deal-related D&A. - The seller is taxed only at the shareholder level (as opposed to the corporate level).
338(h)(10) Election	- A 338(h)(10) is something both buyer and seller can jointly elect to do, which gives you the tax treatment of an asset sale without the hassle of actually exchanging individual assets. - This applies to acquisitions of corporate subsidiaries or S-corps, and most applicable when the target has a high amount of NOLs.	- A 338(h)(10) offers the benefits of stock sales along with the tax savings of an asset sale. - Legally, a 338(h)(10) is considered a stock sale but treated as an asset sale for tax purposes. - The seller is still subject to double-taxation, but the buyer can benefit from the tax advantages of the step-up of assets and the NOLs – leading to a higher purchase price.

Read More → [Asset Sale vs. Stock Sale](#)

Contrast a friendly acquisition and hostile takeover attempt.

- Friendly Acquisition:** A friendly acquisition is when the takeover bid was made with the consent of both companies' management teams and boards of directors. The two had previously agreed to come to the table and negotiated on good terms. The target's board will notify their shareholders of the bid and decision, and in most cases, the shareholders will follow the lead of the board.
- Hostile Takeover:** Conversely, a hostile takeover usually comes after a failed friendly negotiation. The target's management and board of directors have expressed their objection to the acquisition, but the acquirer has continued pursuing a majority stake by going directly to the shareholders.

What are the two most common ways that hostile takeovers are pursued?

- Tender Offer:** In a tender offer, the acquirer will publicly announce an offer to purchase shares from existing shareholders for a premium. The intent is to acquire enough voting shares to have a controlling stake in the target's equity that enables them to push the deal through.
- Proxy Fight:** Alternatively, a proxy fight involves a hostile acquirer attempting to persuade existing shareholders to vote out the existing management team to take over the company. Convincing existing shareholders to turn against the existing management team and board of directors to initiate a proxy fight is the hostile acquirer's objective, as the acquirer needs these shareholders' votes, which it does by trying to convince the company is being mismanaged.

How does a tender offer differ from a merger?

When a public company has received a tender offer, an acquirer has offered a takeover bid to purchase some or all of the company's shares for a price above the current share price. Often associated with hostile takeovers, tender offers are announced publicly (i.e., public solicitation) to gain control over a company without its management team and board of directors' approval. In contrast, a traditional merger would involve two companies jointly negotiating on an agreement to combine.

Read More → [Tender Offer vs. Merger](#)

What are some preventive measures used to block a hostile takeover attempt?

- **Poison Pill Defense:** A poison pill defense is a tactic used by the company being targeted to prevent a hostile takeover attempt. Poison pills give existing shareholders the option to purchase additional shares at a discounted price, which dilutes the acquirer's ownership and makes it more difficult for the acquirer to own a majority stake (i.e., more shares necessary).
- **Golden Parachute Defense:** A golden parachute is when key employees' compensation packages are adjusted to provide more benefits if they were to be laid off post-takeover. Since the takeover was hostile, it's improbable the acquirer would keep the existing management team and board, so they would have to honor the benefits and severance agreements such as continued insurance coverage and pension benefits that these executives included to fend off the acquirer.
- **Dead Hand Defense:** A dead hand provision is similar to the traditional poison pill defense strategy and has the same purpose of creating additional dilution to discourage the acquirer. Rather than giving shareholders the option to purchase new discounted shares, additional shares are automatically issued to every existing shareholder (excluding the acquirer).
- **Crown Jewel Defense:** The "crown jewels" are defined as a company's most valuable assets, which most often include patents, intellectual property (IP), and trade secrets. This defense strategy is based on creating an agreement where the company's crown jewels could be sold if the company is taken over. In effect, this would immediately make the target less valuable and less desirable to the acquirer.

What are some active defense measures to block a hostile takeover attempt?

- **White Knight Defense:** The white knight defense is when a friendly acquirer interrupts the takeover by purchasing the target. The unfriendly bidder is referred to as the "black knight," and this tactic is usually done only when the target is on the verge of being acquired. The target's management and board have accepted it'll give up its independence and lose majority ownership, but the result is still in their favor.
- **White Squire Defense:** A white squire defense is similar to the white knight defense in that an outside acquirer will step in to buy a stake in the company to prevent the takeover. The distinction being the target company will not have to give up majority control over the business as the white squire investor only purchases a partial stake, sized just large enough to fend off the hostile acquirer.
- **Acquisition Strategy Defense:** Another option the target company can resort to is to make an acquisition. While the acquisition may not have been necessary and a premium may have to be paid, the end result is the balance sheet is less attractive post-deal from the lower cash balance (and/or use of debt).
- **Pac-Man Defense:** The Pac-Man defense is when the target attempts to acquire the hostile acquirer. This retaliation deters the hostile attempt, rather than being intended to acquire the company. The Pac-Man defense is employed as a last-resort as having to follow-through on the acquisition is not the end-goal.
- **Greenmail Defense:** Greenmail is when the acquirer gains a substantial voting stake in the target company and threatens a hostile takeover unless the target repurchases its shares at a significant premium. Thus, in a greenmail defense, the target will be forced to resist the takeover by repurchasing its shares at a premium. However, anti-greenmail regulations have made this nearly impossible nowadays.

What is a staggered board and how does it fend off hostile takeover attempts?

When the board of directors of a company is organized as a staggered board, each board member is intentionally classified into distinct classes regarding their term length. A staggered board is used to defend against hostile takeover attempts as this type of ordering protects the existing board of directors and the management team's interests. Since the board is staggered, gaining additional board seats becomes a more complicated and lengthy process for hostile acquirers (and deters takeover attempts).

What is a divestiture and why would one be completed?

A divestiture is the sale of a business segment (and the assets belonging to the unit). Often, divestitures are completed once the management has determined that a segment doesn't add enough value to the core business (e.g., redundant, a distraction from core operations, and non-complementary to other divisions).

The divestiture allows the parent company to cut costs and shift their focus to their core business while allowing the divested business's operations to become leaner and unlock hidden value potential. However, sometimes, the rationale behind the divestiture can be related to restructuring (i.e., prevents falling into insolvency) or regulatory pressure to prevent the existence of a monopoly.

From the viewpoint of investors, a divestiture can arguably be interpreted as a failed strategy in the sense that this non-core business failed to deliver the expected benefits (e.g., economies of scale) and show that there's a need for cash for reinvestment or to better position themselves from a liquidity standpoint. Hence, many divestitures are influenced by activist investors that push for the sale of a non-core business and then request a capital distribution.

How does an equity carve-out differ from a divestiture?

An equity carve has many similarities to a divestiture and is often referred to as a "partial IPO." The mechanism of an equity carve-out is that the parent company will sell a portion of their equity interest in a subsidiary to public investors. In nearly all cases, the parent company will still retain a substantial equity stake in the new entity (usually > 50%).

Upon completing the equity carve-out, the subsidiary will be established as a new legal entity with its separate management team and board of directors. The cash proceeds of the sale to 3rd investors are then distributed to the parent, the subsidiary, or a combination.

What is a spin-off and why are they completed?

In a spin-off, a parent company will separate a particular division to create an independent entity with new shares (ownership claims). The existing shareholders will receive those shares in proportion to their original proportion of ownership in the company (i.e., pro-rata). The decision is up to the shareholders whether to hold on to those shares or sell them in the open market. The rationale for spin-offs is usually in response to shareholders' pressure to divest a subsidiary that would be better off as a standalone company.

What is the difference between a subsidiary and an affiliate company?

- **Subsidiary:** A subsidiary is when the parent company remains the majority shareholder (50%+).
- **Affiliate Company:** An affiliate company is when the parent company has only taken a minority stake.

What is a reverse merger and what benefits does it provide?

A reverse merger is when a privately held company undergoes a merger with another company that's already publicly traded in the markets. The public company can either be an operating company or be an empty corporate shell. The benefit of reverse mergers is that the public entity can now issue shares without incurring the costs associated with IPOs.

What is an S-4 filing and when does it have to be filed?

An S-4 is a required form that must be filed with the SEC prior to a merger and acquisition activity taking place. Contained in the S-4 will be material information related to the transaction, such as the deal rationale, negotiated terms, risk factors, pro forma financials, and other related material.

What is the difference between the Schedule 13-D and 13-G filing?

The Schedule 13-D and 13-G are forms intended to disclose publicly when an investor has taken a significant stake in a company in terms of ownership and voting power. These filings notify other investors of the influential investor's stake (i.e., "beneficial owners").

- **Schedule 13-D:** A Schedule 13-D must be filed when an investor acquires a minimum of 5% of a public company's total common equity, and over 2% was acquired in the last twelve months. Within ten days of the triggering acquisition, the Schedule 13-D must be filed. There must be a direct statement in the filing, answering whether they intend to acquire more of the company's shares to gain further influence.
- **Schedule 13-G:** A Schedule 13-G can be filed in lieu of the 13-D as long as the investor doesn't intend to take control of the company. This alternative, short-form version is filed when an investor acquires 5%+ of the total equity but less than 2% in the last twelve months. Since there appears to be no intent to further increase their stake on the filing date, the reporting requirements are shorter, less detailed, and depend on the investor's classification (e.g., institutional investor, passive investor). If the investor's intent is amended, the 13-D must be filed within ten days of the change.

Can you explain what the "winner's curse" is in M&A?

The so-called winner's curse in M&A is the tendency for the winning bidder to have paid far beyond the target's fair value. While a certain premium is expected during competitive processes, this can often be elevated to irrational levels. The buyer may later feel buyer's remorse and receive scrutiny for overpaying, especially if the acquisition doesn't pan out as expected, which can lead to write-downs of the acquired assets. Financial buyers also experience greater difficulty meeting their fund's required returns threshold if a higher multiple was paid.

What is a holdback in M&A?

To help mitigate transaction risks, a holdback mechanism can require a portion of the purchase price of an acquisition to be placed in escrow to protect the interests of the buyer post-closing until the terms of the agreement have been satisfied. This provision can be used to ensure the seller follows through on all agreed-upon conditions outlined in the deal agreement and minimize the risk of monetary loss for the buyer. These funds would be held in escrow and can be released to the buyer if the seller violates the terms.

What type of material is found in an M&A pitchbook?

A pitchbook is a marketing document used by investment banks to pitch potential clients to hire them for a particular transaction. The pitchbook will differ by each investment bank, but the general M&A transaction pitchbook will include:

1. Introduction of the Investment Bank and Dedicated Team Members
2. Situational Overview of the Deal and Client Company
3. Prevailing Market and Industry Trends
4. Implied Valuation Range and Combined M&A Model
5. Proposed Deal Strategy Outline and Key Considerations
6. Credentials and Tombstones of Relevant Industry Experience
7. Appendix (DCF Model, Trading Comps, Transaction Comps)

Read More → [Investment Banking Pitchbook: Real-World Examples](#)

Accretion/Dilution Modeling

Walk me through a simple M&A model.

An M&A model takes two companies and combines them into one entity.

1. First, assumptions need to be made about the purchase price and other uses of funds such as refinancing target debt and paying transaction and financing fees.
2. Then, assumptions about the sources of funds need to be made. The question being answered here is: "Will the acquirer pay for the acquisition using cash, take on additional debt, issue equity, or a combination?"
3. With those assumptions in place, the acquirer's balance sheet is adjusted to reflect the consolidation of the target. Certain line items such as working capital can be added together, while others require further analysis. The major adjustment to the combined balance sheet involves calculating the incremental goodwill created in the transaction, which involves making assumptions regarding asset write-ups and deferred taxes created (or eliminated).
4. Next, deal-related borrowing and paydown, cash used in the transaction, and the elimination of target equity all need to be reflected.
5. Lastly, the income statements are combined to determine the combined, pro forma accretion/dilution in EPS – which is ultimately the question being answered: "Will this deal be accretive or dilutive?"



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Accretion/Dilution
Analysis

What are two ways to determine the accretive/dilutive impact to EPS?

1. **Bottom-Up Analysis:** When the post-transaction EPS calculation is done as a bottom-up analysis, this involves starting from the buyer's and seller's standalone EPS and adjusting to reflect the incremental interest expense, additional acquirer shares that must be issued, synergies, and incremental depreciation and amortization due to asset write-ups.
2. **Top-Down Analysis:** Alternatively, the accretion/dilution analysis can be done top-down, whereby the two income statements are combined, starting with revenue and then moving down to expenses while making the deal-related adjustments.

What does accretion/dilution analysis tell you about the attractiveness of a transaction?

An accretive deal doesn't necessarily indicate value creation for the acquirer (and vice versa for dilutive deals). However, significant accretion or dilution is often perceived by buyers, public company buyers in particular, as a sign of potential investor reaction from the transaction. Many buyers fear dilutive deals because they can lead to a decline in share price post-announcement. This fear is rooted in the notion that investors will apply the pre-deal P/E ratio to the now-lower pro forma EPS.

These concerns, while quite valid when viewed through the prism of buyers' short-term concerns about meeting EPS targets, are not relevant to whether a deal actually creates long-term value for the acquiring company's shareholders, which is a function of the intrinsic value of the newly combined company.

- **Accretion:** When Pro Forma EPS > Acquirer's EPS
- **Dilution:** When Pro Forma EPS < Acquirer's EPS
- **Breakeven:** No Impact on Acquirer's EPS

Read More → *How an Investment Banker Builds an Accretion Dilution Model*

What does it mean when a transaction is done on a “cash-free, debt-free” basis?

Nearly all M&A deals are negotiated on a “cash-free, debt-free” basis. A transaction done on a CFDF basis implicitly assumes the seller will pay off all the debt outstanding and extract all the excess cash before the new buyer completes the transaction. Excess cash in this context is defined as the cash remaining after the debt has been paid down and above its minimum cash balance. Since the acquirer doesn't have to assume the debt on the seller's balance sheet or get to use its cash, the acquirer is just paying the seller for the company's enterprise value.

Read More → *Cash-Free Debt-Free: Why it's Used and Impact on Enterprise Valuation*

Is it better to finance a deal via debt or stock?

- **Buyer's Perspective:** When the buyer's P/E ratio is significantly higher than the target's, a stock transaction will be accretive, which is an important consideration for buyers and may tilt the decision towards stock. When considering debt, the buyer's access to debt financing and the cost of debt will influence the buyer's willingness to finance a transaction with debt. The buyer will also analyze the deal's impact on its capital structure, credit rating implications, and credit statistics.
- **Seller's Perspective:** Most sellers will prefer cash (i.e., debt financing) over a stock sale unless tax deferment is a priority for the seller. A stock sale is usually most palatable to the seller in a transaction that more closely resembles a merger of equals and when the buyer is a public company, where its stock is viewed as a relatively stable form of consideration.



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Deal Consideration

What does purchase consideration refer to in M&A?

The purchase consideration in an M&A deal represents the acquirer's proposed payment method to the target's shareholders. The purchase consideration can be categorized as cash, stock, or a combination.

The tax consequences represent decisive factors that shareholders consider when assessing an offer:

- An acquisition paid all-cash has an immediate tax consequence, as a taxable event has been triggered.
- In contrast, if the purchase method made was all-equity (i.e., exchange of shares in the newly merged company), this would not trigger any taxes.

Shareholders' perception of the post-M&A company and its future can also impact their decision:

- If they have negative views of the company's future, they would not want to own shares in that company – even if it means they must pay taxes for that year associated with the deal.
- But if they believe the new company will perform well and the share price will appreciate, the shareholders will be inclined to accept stock as compensation to take part in the potential upside.

What is an exchange ratio and what are the two main types?

For partial or all-stock deals, the purchase offer can be structured as either a fixed or floating exchange ratio.

1. **Fixed Exchange Ratio:** A fixed exchange ratio clearly defines the number of shares of the acquirer's stock to be exchanged for one share of the target. The number of shares to be required by the target's shareholders is constant, as well as their ownership percentage in the new entity, regardless of the share price movement once the definitive agreement between the two parties is signed and executed. The target's shareholders bear the risk that the share price could decline post-closing, with no provision in place to protect them in the event this were to occur.

- 2. Floating Exchange Ratio:** A floating exchange ratio sets a specific amount per share the acquirer has agreed to pay for each share of the target's stock in the form of the acquirer's shares. Therefore, the target's shareholders have downside protection if the share price falls post-closing.

When might an acquirer prefer to pay for a target company using stock over cash?

For the acquirer, the main benefit of paying with stock is that it preserves cash. For buyers short on cash, paying with stock avoids the necessity of using debt to help fund the deal.

For the seller, a stock deal makes it possible to share in the future growth of the business and enables the seller to defer the payment of tax on gain associated with the sale.

Why might some shareholders prefer cash compensation rather than stock?

Certain types of shareholders might prefer cash rather than stock as the purchase consideration because cash is tangible, and the value received post-closing is guaranteed. These types of shareholders are more risk-averse and may not view the prospects of the combined company positively.

Other shareholders may prefer compensation in stock to take part in the combined entity's upside potential and to delay paying taxes.

Would you expect an all-cash or all-stock deal to result in a higher valuation?

In most cases, an all-stock deal will result in a lower valuation than an all-cash deal since the target's shareholders get to participate in the potential upside of owning equity in the new entity.

If the deal were all-cash, the proceeds from the sale would be a fixed amount (and be capped), but an all-stock deal comes with the possibility of higher returns if the combined entity performs well and the market has a favorable view of the acquisition, leading to share price appreciation.

In all-stock deals, how can you determine whether an acquisition will be accretive or dilutive?

As a general rule, if the acquirer is being valued at a lower P/E than the target in an all-stock deal, the acquisition will be dilutive. The reason being more shares must be issued, which increases the dilutive impact. Since the denominator (the pro forma share count of the combined entity) has increased, the EPS will decline.

But if the acquirer is being valued at a higher P/E than the target, the acquisition will be accretive.

Assume that a company is trading at a forward P/E of 20x and acquires a company trading at a forward P/E of 13x. If the deal is 100% stock-for-stock and a 20% premium was paid, will the deal be accretive in year 1?

Yes, stock-for-stock deals where the acquirer's P/E ratio is higher than the target's P/E are always accretive. Don't get tricked. A 20% premium just brings the target's P/E to $13 + (13 \times 20\%) = 15.6$ P/E, which is still below the acquirer's P/E.

How do you calculate the offer value in an M&A deal?

The offer price per share refers to the purchase price to acquire the seller's equity on a per-share basis.

Thus, the calculation of offer value involves multiplying the fully diluted shares outstanding (including options and convertible securities) times the offer price per share.

$$\text{Offer Value} = \text{Fully Diluted Shares Outstanding} \times \text{Offer Price Per Share}$$

Why is a "normalized" share price used when calculating the offer value?

Oftentimes, news of the deal or even rumors can leak and cause the price of the companies involved in the deal to rise (or decrease). Therefore, the latest share price may already reflect investors' opinions on the deal and not be an accurate depiction of the real standalone valuation of the target company.

How do you calculate the control premium in an M&A model?

It is important to use the normalized share price in the calculation, as rumors of the deal could have reached the public before an official announcement. To accurately calculate the control premium, the denominator (i.e., pre-deal share price) must be “unaffected” by the news of the transaction.

$$\text{Control Premium \%} = \left(\frac{\text{Offer Price Per Share}}{\text{Current Price Per Share}} - 1 \right) \times 100$$

How do you calculate the transaction value?

Transaction value in the M&A context refers to the target’s implied enterprise value given the offer value. The transaction value equals the target offer value plus the target’s net debt.

$$\text{Transaction Value} = \text{Target Offer Value} + \text{Net Debt}$$

What are the most common balance sheet adjustments in an M&A model?

In an M&A analysis, certain line items on the acquirer and target's balance sheet can simply be lumped together. However, others need to be adjusted to reflect deal-related accounting and funding adjustments.

On the Accounting Side

- **Goodwill:** Eliminate the existing, pre-deal target goodwill and create new goodwill from the new deal.
- **PP&E and Intangible Assets:** Write up assets to fair market value (FMV).
- **Deferred Tax Liabilities (DTLs):** Create new deferred tax liabilities in a stock sale.
- **Target Equity:** Eliminate target equity from the consolidation.

On the Funding Side

- **Debt:** Create new acquirer debt (if the deal was partially funded with debt) and eliminate Target debt (Target debt is often refinanced and reflected in the new acquirer debt financing, although in rare cases, it can carry over).
- **Equity:** Increase the existing value of acquirer equity by the value of new acquirer equity issued.
- **Cash:** Reduce cash by the excess cash used to fund the deal and pay transaction and financing fees with a corresponding reduction to equity (the transaction fees) and to new debt (the financing fees).

What are the most common income statement adjustments in an M&A model?

In an acquisition, the acquirer and target income statements are consolidated. But before doing so, certain line items must be adjusted as part of purchase accounting.

Income Statement Adjustments

- **Revenue:** Increase consolidated revenue by any revenue synergies.
- **Operating Expenses:** Reduce consolidated expenses by any expected cost synergies.
- **Incremental D&A:** Asset write-ups often result in more non-cash D&A. Thus, incremental D&A expenses from write-ups need to be added to consolidated D&A.
- **Other Expenses:** Transaction fees are expensed on the income statement.
- **Interest Expense:** Acquirer interest expense is adjusted up when debt financing is used to fund the deal. Target interest expense is eliminated when target debt is refinanced.
- **Financing Fees:** Financing fees related to raising debt are amortized over the term of the debt, and the non-cash expense is recognized within interest expense.
- **Interest Income:** Reduce interest income by the impact of excess cash used to fund the deal.
- **Taxes:** All the adjustments above need to be tax-affected at the acquirer’s tax rate.



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Income Statement
Deal Adjustments

- **Pro Forma EPS:** Use the acquirer's pre-deal share count and then add the number of acquirer shares issued in the transaction.

What does a goodwill impairment tell you about a deal?

Companies are required to estimate the value of their past acquisitions periodically. A goodwill impairment occurs when the acquiring company determines the current value is lower than the original price paid for the target company.

For example, suppose an acquirer that paid \$100 million for a business with \$40 million in goodwill now estimates the acquired business's value to be \$70 million. Here, the acquirer must recognize a \$30 million goodwill impairment via retained earnings, bringing the goodwill balance down to \$10 million.



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Goodwill & Acquisition Accounting

Which balance sheet items are often adjusted to fair market value in a transaction?

Property, plant, and equipment (PP&E) and intangible assets are often carried at book values significantly below market values. As a result, these two assets are written-up the most in a transaction.

Who determines the value of fair market write-ups in a transaction?

Independent appraisers, accountants, and other valuation firms can help determine the write-up amounts.

What is the purpose of a fairness opinion in the M&A context?

A fairness opinion is a document provided by the seller's investment banker to the seller's board of directors attesting to the fairness of a transaction from a 3rd party perspective. The purpose of the fairness opinion is to provide the selling shareholders with an unbiased evaluation of the deal.

Read More → Fairness Opinions in M&A

Would an acquirer prefer \$100 in revenue synergies or \$100 in cost synergies?

An acquirer would prefer \$100 in cost synergies because all those cost savings (after accounting for tax) flow through to the bottom line, while revenue synergies have associated costs that reduce the bottom-line benefit.

For example, \$100 in revenue synergies for a company with 40% pre-tax profit margins and a 25% tax rate would see $\$100 \times 40\% \times (1 - 25\%) = \30 flow to the bottom line, while the same company with \$100 in cost synergies would see $\$100 \times (1 - 25\%) = \75 flow to the bottom line.

Are acquirers more likely to achieve revenue synergy or cost synergy expectations?

While both revenue and cost synergy expectations are often not fully achieved post transaction, revenue synergy assumptions are less accurate than cost synergy assumptions. This is because cost synergies can point towards specific cost-cutting initiatives such as laying off workers and shutting down facilities.

In contrast, revenue synergies are driven by higher-level, more uncertain assumptions around cross-selling, new product launches, and other growth initiatives.

For investment bankers, why is a sell-side process typically shorter than a buy-side assignment?

As a practical matter, once the owner of a company proceeds with a potential sale, it'll usually be easy to find a group of buyers. So when working on behalf of the seller, the likelihood of completing a transaction is higher.



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Day in the Life of an M&A Advisor

On the other hand, many companies regularly engage in market research and “dipping their toe in the water” type explorations of potential acquisition candidates. Thus, when working on behalf of a buyer, these engagements can drag on for months and often end in no transaction.

What is the accounting for transaction fees in M&A?

Transaction fees include investment banking advisory, accounting, and legal fees, which are expensed as incurred. In effect, the pro forma net income and pro forma EPS will be reduced.

What is the accounting treatment for financing fees?

When an acquirer borrows debt to finance an acquisition, the fees related to this borrowing are not treated like transaction fees. Instead, there are treated differently by being capitalized and amortized over the life of the debt issuance, which creates an incremental amortization expense. Therefore, the pro forma net income and pro forma EPS will be reduced over the term of the borrowing.

Regarding the balance sheet, financing fees are deducted from the debt liability directly as a contra-liability. In terms of modeling the financing fees, the financing fees are amortized over the borrowing term, classified as “Debt Issuance Costs,” and embedded as a non-cash expense within interest expense.

Read More → [Financing Fees Accounting](#)

What are some standard income statement adjustments related to a transaction?

M&A Income Statement Adjustments

- Expected Synergies
- Capitalized Financing Fees
- Incremental Depreciation & Amortization
- Additional Interest Expense
- Loss of Interest Income

What causes incremental D&A to be recorded in M&A deals?

Incremental D&A is created due to asset write-ups. The assets of the target, most often PP&E and intangible assets, are written-up to their fair value in a deal if appropriate. The increase in D&A will reduce pro forma net income and pro forma EPS.

What is the impact of target NOLs in M&A?

Depending on the deal structure, target NOLs are assumed by the acquirer, although their use by the acquirer is capped at an annual limit that's a function of the purchase price x the long-term tax-exempt rate. Alternatively, target NOLs can be used to offset the seller's gain on sale, which since the 2017 tax reform act, has been capped at 80% of the target's taxable income.

Why are deferred tax liabilities (DTLs) created in transactions?

Deferred tax liabilities (DTLs) are created because of deal-related asset write-ups. Specifically, when a company is acquired, its assets' book basis often gets written up to fair market value. However, when deals are structured as stock sales, the tax basis doesn't always get stepped up to align with the book basis write up.

Here, DTLs are created on the deal date because depreciation on assets written-up will be higher for book purposes than for tax purposes.



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Deferred Taxes
in M&A**

What happens to a target's existing NOLs in transactions?

The treatment of existing target NOLs depends on the structure of the deal:

- **Asset Sales:** NOLs can be used up by the target to offset any gain on sale on the corporate level. The acquirer doesn't get any remaining unused NOLs as they're permanently lost.
- **Stock Sales:** NOLs can be used by the acquirer in the future but are subject to an annual "IRC 382 limitation," which limits the annual carryforward to a regularly published "long term tax-exempt rate" times the equity purchase price.

An M&A deal has an adjustment for a deferred revenue write-down. Why would this occur?

A deferred revenue write-down adjustment is often seen in software M&A deals (e.g., Adobe's acquisition of Marketo-Magento), as revenue is typically under long-term subscription contracts. The value of the deferred revenue might get revalued (and reduced) to its fair value before the transaction closes, leading to a write-down if it's determined the amount recognized is less than what was originally on the books.

There could be various causes, such as collectability not being reasonably assured, terminated/breached contracts, or changes in customer contract terms (e.g., upgrades, maintenance, support) that all require re-estimating the remaining performance obligation, the costs required to fulfill the performance obligations, and the appropriate profit margin associated with fulfilling the performance obligation.

What is an earnout in the context of M&A?

In M&A, an earnout is a contractual arrangement between a seller and buyer in which a portion of the total purchase price consideration (or rare occasions, the entirety) is to be paid out on a later date, contingent on the seller achieving pre-determined financial targets. Negotiations between a seller and buyer during an M&A deal can stall because the seller desires a purchase price higher than the buyer is willing (or able to pay), leading to the inability to come to an agreement.

To break out of this purchase price deadlock— an earn-out provision is often used as a compromise. The more formal term is "contingent consideration," and under this mechanism, a portion of the purchase price will be issued to the seller upon achievement of a certain milestone within a given time frame.

Read More → [Earnouts in M&A](#)

Which side do you believe an earn-out helps more: the buyer or seller?

An earn-out can be very beneficial for a buyer, as the seller takes on the burden of not meeting the financial targets and the risk of underperformance. The seller's interests will also be closely aligned with the buyers, as the seller will likely be very determined to reach the financial or operational milestones set to receive the full purchase consideration, which is again beneficial to the buyer.

Most sellers are reluctant to agree to earnouts given the uncertainty of payment. But without an earnout being structured, the deal in most cases wouldn't have closed due to the disparity in valuations. If the seller meets their performance targets, the seller can receive all (or near) the total consideration originally requested, depending on how the earn-out was structured.

But failure to meet the targets would mean the buyer didn't overpay for the asset, which was the objective for the inclusion of an earn-out. Hence, earn-outs can be viewed as a risk-allocation mechanism as the payment is deferred and the burden of meeting the target is placed on the seller.

How are earn-outs typically structured?

Earn-outs are highly negotiated and will differ by the deal, but most will last for one to five years and be paid out in installment payments (rather than a lump sum). The payoffs will be structured into percentage-based tiers for each year, meaning the target (and reward) is broken out into different levels and these hurdle rates will sum up to the total earn-out amount. The most common pay-off structures are:

1. **Percentage of Future Performance:** The seller is compensated for each tier met plus the pro rata amount earned over (usually based on how close to meeting a target it was on a percentage-basis).
2. **Binary Payments:** Often called "all-or-nothing" payments, there will be no payout for a specific tier unless a target is met 100%, which places more risk and pressure on the seller.

For earn-outs, why is EBITDA the most common metric to use as the target?

The most frequently used metric for earn-outs is EBITDA. The logic is straightforward as most valuations are presented as a multiple of EBITDA. If a seller believes its business with \$1 million in EBITDA is worth 5.0x EBITDA, but the buyer is willing to pay up to 4.0x EBITDA, the compromise would be a \$4 million purchase price and a chance for the seller to earn the extra \$1 million based on the attainment of the EBITDA goal.

EBITDA strikes the right balance between growth and profitability. The attainment of an EBITDA target requires a long-term oriented strategy and the metric is a better proxy for real value creation. Revenue targets are viewed as less than ideal because the buyer may become short-term focused and make riskier decisions to hit the sales targets. Net income is also viewed as sub-optimal due to how it can be easily manipulated for the goal to be met (e.g., cost-cutting, reduce capex, sell assets).

How would an earn-out be modeled on the three statements?

An earn-out will not be reflected on the Sources & Uses table since no cash payment has been paid out yet. However, the returns models from both the buy-side and sell-side perspective would have this earn-out modeled out as a contingency.

- **IS:** The change in the value of the contingency payment would be reflected in the non-operating gains/(losses) section. The amount will depend on the probability of the earn-out being paid out. A gain would mean the probability of payout has decreased, while a loss means the probability has increased.
- **BS:** The earn-out will be recorded as a contingent consideration in the liabilities section and recorded at its measured fair value as of the acquisition date. An accountant will determine the liability's fair value as the present value of the probability-weighted expected amount of future payment. Thus, as targets are met (or missed), the contingent liability is re-evaluated and adjusted periodically until the earn-out period ends.
- **CFS:** If a target is met, the agreed-upon payout will be recorded here. The fluctuating changes in the probability of payout are also shown here, but these non-cash changes in values are not actual cash inflows/(outflows), unlike the payout when a target is met.

Which industries would you expect earnouts to be the more prevalent?

Healthcare is the industry in which earnouts are most common. Given the increased regulatory complexity and strict compliance requirements, financial and strategic acquirers must carefully evaluate and mitigate the risk of their investments. In recent years, the FTC and DOJ have placed increased scrutiny on healthcare M&A. The prevalence of earn-outs in healthcare transactions reflects the amount of risk surrounding the regulatory environment, as well as the uncertainty of product trials currently in development pipelines.

Many M&A deals related to healthcare are structured with contingencies on receiving regulatory approval, as both the buyer and seller are well aware of the risk the buyer would be undertaking. The value of the assets being considered for the acquisition would depend on future events that cannot be accurately predicted.

Unique to the healthcare industry, many of these earn-outs are based on events such as receiving FDA approval, FDA classification, patent production approval, or reaching milestones (e.g., receiving approval, meeting unit production targets, and then product sales target).

In M&A, what is the purpose of seller notes?

A seller note is when the seller has agreed to receive a portion of the purchase price in the form of debt. The seller note is part of the purchase consideration, similar to an earn-out. Thus, it provides an incentive for the seller to stick around and help the ownership transition. Now that the seller has become a lender to the company, downside protection becomes a priority since it's the seller's best interests for the new business to be run well, as this increases the probability of receiving the agreed-upon installment payments of the loan (and receive the full purchase price).

If the seller is staying on to manage the business, that means he/she will make more risk-averse decisions. And if management is not staying on, the seller will go above and beyond to ensure the new management team knows what they're doing.

How are seller notes in M&A modeled?

Seller notes (or seller financing) are modeled the same way as any other debt instrument. Therefore, it'll show up in the Sources & Uses schedule as a source of funds since these notes helped finance the deal. In most cases, seller notes will come in the form of subordinated debt with a high, fixed interest rate given its position in the capital structure. But often, the option for PIK interest or conversion feature will be attached.

What is the purpose of the working capital peg negotiation in M&A?

The working capital peg is the negotiated sufficient level of net working capital required post-closing of a transaction and should represent the normalized NWC requirements to operate the business on an ongoing basis. From the perspective of the buyer, the purpose of setting this target is to prevent the seller from taking cash beyond NWC requirements. Therefore, a working capital peg ensures the business can continue operating with no more capital required upon closing.

Can you name a scenario when the post-deal EPS accretion/dilution would not be a significant consideration?

If the buyer is publicly traded and the target is a startup being purchased for "acqui-hiring" purposes, the strategic acquirer would pay little attention to the post-acquisition EPS. Instead, the focus would be the onboarding of the new key personnel being brought on and the intellectual property (IP), since the impact on EPS would be negligible given the size disparity.